

Section VIII

⁴¹Specific Directions applicable for Infrastructure Debt Funds - Non-Banking Financial Company (IDFs-NBFC)

The instructions contained in **Section VIII** for IDF-NBFCs are in addition and not in substitution to the other relevant instructions contained in these Directions.

131. The IDF shall be set up either as a trust or as a company. A trust based IDF is registered as IDF-Mutual Fund (MF) and is regulated by SEBI whereas a company based IDF is registered as an IDF-NBFC and is regulated by the Reserve Bank.

132. Raising of funds

132.1 IDF-NBFC shall raise funds through issue of either rupee or dollar denominated bonds of minimum five-year maturity. With a view to facilitate better asset-liability management (ALM), IDFs-NBFC can raise funds through shorter tenor bonds and commercial papers (CPs) from the domestic market to the extent of up to 10 percent of their total outstanding borrowings.

132.2 In addition to the bond route, IDFs-NBFC can also raise funds through loan route under external commercial borrowings (ECBs). However, such borrowings shall be subject to minimum tenor of five years and the ECB loans should not be sourced from foreign branches of Indian banks.

132.3 Regarding ECBs, IDFs-NBFC shall also be required to adhere to the guidelines issued by the Foreign Exchange Department of the Reserve Bank.

133. Guidelines governing sponsorship of IDF-MFs by NBFCs

133.1 All NBFCs shall be eligible to sponsor (sponsorship as defined by SEBI Regulations for Mutual Funds) IDF-MFs with prior approval of the Reserve Bank subject to the following conditions (based on the audited financial statements), in addition to those prescribed by SEBI:

- (i) The NBFC shall have a minimum NOF of ₹300 crore and CRAR of 15 percent;
- (ii) Its net NPAs shall be less than 3 percent of the net advances;
- (iii) It shall have been in existence for at least 5 years;

⁴¹ Vide circular DoR.SIG.FIN.REC.31/03.10.001/2023-24 dated August 18, 2023

- (iv) It shall be earning profits for the last three years and its performance shall be satisfactory;
- (v) The CRAR of the NBFC post investment in the IDF-MF shall not be less than the regulatory minimum prescribed for it;
- (vi) The NBFC shall continue to maintain the required level of NOF after accounting for investment in the proposed IDF-MF;
- (vii) There shall be no supervisory concerns with respect to the NBFC.

133.2 NBFCs that fulfil the eligibility criteria as above shall approach the Department of Regulation of the Reserve Bank, for prior approval to sponsor IDF-MFs.